

Vistaar Financial Services Private Limited

September 15, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term / Short-term bank facilities	RBI	2,000.00 (Enhanced from 1,000.00)	CARE AA-; Stable / CARE A1+	LT rating reaffirmed and ST rating assigned
Non-convertible debentures	SEBI	250.00	CARE AA-; Stable	Assigned
Non-convertible debentures	SEBI	150.00	CARE AA-; Stable	Reaffirmed
Non-convertible debentures	SEBI	200.00	CARE AA-; Stable	Reaffirmed
Non-convertible debentures	SEBI	200.00	CARE AA-; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Reaffirmation of ratings assigned to long term bank facilities and debt instruments and assignment of short-term bank facility ratings of Vistaar Financial Services Private Limited (VFSPL) factors in the company's established track record in the micro, small, and medium enterprise (MSME) segment, sustained improvement in profitability supported by operating leverage, low gearing and its ability to secure incremental borrowings at competitive rates. Ratings also derive strength from VFSPL's comfortable capitalisation levels, consistent business growth, demonstrated ability to raise equity from a diverse investor base, and continued backing from marquee investors. Ratings also derive strength from stated intent of Warburg Pincus LLC (WP), with a 70.06% shareholding in VFSPL, to provide need-based support to VFSPL and its long-term investment horizon and its continued commitment towards VFSPL, as evidenced by active involvement in the company's strategic and operational initiatives.

However, ratings remain constrained by geographical concentration of portfolio, moderate asset quality, moderately diversified resource profile, and inherent risks associated with the target borrower segment.

Going forward, CARE Ratings Limited (CareEdge Ratings) expects VFSPL to sustain healthy profitability, maintain comfortable gearing and capitalisation levels, and preserve asset quality indicators within manageable levels, while continuing to deliver steady growth in its MSME franchise.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sizeable growth in scale of operations while maintaining healthy profitability and comfortable asset quality.
- Significant strengthening of net worth and diversification in resource profile.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Material dilution in WP's shareholding to below 51% or in its support philosophy.
- Weakening of asset quality parameters, with gross non-performing assets (GNPA) of over 4% on a sustained basis.
- Increase in overall gearing above 3.5x on a sustained basis.

Analytical approach:

Standalone, while factoring in support from the majority shareholder, WP.

Outlook: Stable

The stable outlook reflects CareEdge Ratings' expectation that VFSPL will report a healthy business growth while maintaining its profitability and capitalisation levels and keeping asset quality under control.

Detailed description of key rating drivers:

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Key strengths

Established track record in the MSME segment, supported by strong institutional ownership and experienced management

VFSPL was co-founded by Brahmanand Hegde and Ramakrishna Nisthala in April 2010 and has since been operating in the secured MSME lending segment. The company was earlier backed by institutional investors, such as Samaa Capital, Elevar Equity, Omidyar Network, and WestBridge Capital. In Q1FY24, WP acquired a 90.59% stake in VFSPL through a combination of secondary purchase and a fresh equity infusion of ₹300 crore. Post this transaction, the founding promoters exited the company, and Avijit Saha was appointed as the Managing director and Chief Executive officer (MD & CEO). He has over three decades' experience across retail, rural, digital banking, and small and micro enterprises (SME) credit, and previously headed the rural banking division at ICICI Bank. Following the subsequent equity raise from new investors in FY25, WP's shareholding stood at 70.06% as on June 30, 2026. The acquisition by WP has strengthened VFSPL's ownership profile, governance structure, and strategic direction. As a long-term private equity investor with a strong global presence in financial services, WP brings deep sectoral expertise, active Board oversight, and access to institutional networks. The transition to a professionally managed structure under an experienced leadership team is expected to strengthen risk management practices and support the company's long-term growth and capital planning initiatives. CareEdge Ratings derives comfort from the demonstrated support philosophy and long-term commitment of WP and expects timely financial and operational support from the WP, should the need arise.

Comfortable capitalisation levels

VFSPL raised fresh equity of ~₹300 crore from WP in Q1FY24, and ₹870 crore from four new investors, namely Motilal Oswal Private Equity, ABC Impact, True North, and Faering Capital in Q4FY25 and Q1FY26. Supported by regular capital infusions and healthy internal accruals, the company has maintained comfortable capitalisation levels, with tangible net worth (TNW) of ₹2,806 crore as on June 30, 2026, and capital to risk (weighted) assets ratio (CRAR) and tier-I capital adequacy ratio (CAR) of 51.03% and 50.54%, respectively. With the company funding its moderate growth in FY26, through equity proceeds, its overall gearing improved to 0.94x as on March 31, 2026, from 1.27x as on March 31, 2025, and stood stable at 0.94x as on June 30, 2026. While CareEdge Ratings expects leverage to increase moderately with VFSPL's medium-term growth plans, the company is expected to maintain a gearing below 3.5x on a sustained basis.

Consistent increase in scale of operations

VFSPL is an MSME-focused non-banking financial company (NBFC), engaged in providing business loans backed by residential or commercial property. Its target customers include traders, retail outlets, dairy operators, Kirana, medical stores or other micro entrepreneur. As on June 30, 2026, ~91% of the portfolio was secured against self-occupied residential properties. VFSPL offers secured small business mortgage loans under three product categories — Saral, Sampatti, and Vyapaar.

'Saral' is a fully secured MSME product with a ticket size of up to ₹20 lakh (average ticket size of ₹7.5 lakh); 'Sampatti' is a housing loan product for MSME customers with ticket sizes ranging from ₹3 lakh to ₹1 crore (average ticket size of ₹10 lakh); and 'Vyapaar' is a higher-ticket fully secured MSME product in the ₹20 lakh-₹1 crore range (average ticket size of ₹30 lakh). As on June 30, 2026, the Saral product constituted the portfolio's largest share at 58.5% (March 31, 2025: 57.4%), followed by Sampatti at 22.9% (March 31, 2025: 23.3%), and Vyapaar at 15.2% (March 31, 2025: 19.3%). The company has also launched gold loan product in FY26, which constituted to 3.3% of assets under management (AUM) as on June 30, 2026.

VFSPL's AUM grew at a compounded annual growth rate (CAGR) of 21.7% from FY21 to FY26. The portfolio growth was slower at 11.8% in FY26, due to challenging market conditions and stood at ₹5,512 crore as on March 31, 2026, compared to ₹4,930 crore as on March 31, 2025, and stood at ₹5,670 crore as on June 30, 2026. The company also expanded its branch network from 212 as on March 31, 2024, to 309 branches as on March 31, 2026. As a proportion, Saral is expected to contribute 60% of incremental disbursements, Sampatti is expected to contribute 25%, and the remaining will be from Vyapaar and gold loan.

Healthy profitability metrics

Profitability has improved steadily over the years, aided by operating efficiencies by portfolio scale-up. In FY26, with lower reliance on borrowings, net income margin (NIM) increased to 11.88% from 10.38% in FY25. Consequently, pre-provision operating profit (PPOP) increased by 37.42% to ₹513 crore in FY26 from ₹373 crore in FY25. Opex (as a percentage of total assets) has remained stable at 4.91% in FY26 against 4.80% in FY25. The credit cost has increased from 1.64% in FY25 to 2.33% in FY26, due to stress in micro finance segment, which overlaps with the target segment for the businesses of VFSPL's borrowers. Despite increase in credit costs, the improvement in NIM has resulted in an improvement in return on total assets (ROTA) from 4.41% in FY25 to 5.14% in FY26. Profitability continued to remain healthy with ROTA at 4.43% in Q1FY27. The company's ability to sustain profitable growth across business cycles while maintaining asset quality and credit discipline will remain a key monitorable.

Adequate internal control and MIS system

VFSPL provides secured MSME loans in the range of ₹3 lakh – ₹1 crore for a tenure of 10 years. The company primarily caters to SME engaged in cash-and-carry businesses in rural and semi-urban regions. VFSPL operates under a defined credit policy, formulated based on its extensive experience and understanding of the target borrower segment. Customer selection is guided by a comprehensive, multi-layered evaluation process involving sales, branch, credit, legal, and risk teams. Due diligence includes site visits to the borrower's business premises, residence, and collateral property to assess income levels, verify KYC compliance, determine loan-to-value (LTV) ratios, and evaluate overall creditworthiness. The company leverages multiple third-party technology platforms to strengthen its underwriting and monitoring processes, including Tableau for management information system (MIS), Epik Indifi for loan origination (LOS), Pennant for loan management (LMS), and Credit Nirvana for collections management.

Key weaknesses

Geographical and product concentration of the portfolio

The company's loan portfolio remains concentrated in secured MSME financing (Saral and Vyapaar), which accounted for 73.8% of total portfolio and balance comprised loan against property (LAP) portfolio (Sampatti-22.9%) and gold loan (3.3%) as on June 30, 2026. It operates across 12 states, with Tamil Nadu being the largest contributor, comprising 32.3% AUM. Tamil Nadu, Karnataka, Andhra Pradesh, and Telangana together account for 80.6% of AUM as on the same date. CareEdge Ratings expects the portfolio to remain geographically concentrated in the Southern India in the near term, considering the significant presence of branches in the south and maturity of the business in the region. The company's ability to manage its growing scale of operations as it opens new branches and enters new geographies, while maintaining comfortable asset quality remains critical for its growth prospects.

Moderate asset quality

The company's asset quality continues to remain moderate with GNPA and net NPA (NNPA) of 2.83% and 1.69%, respectively, as on March 31, 2026, against GNPA and NNPA of 3.08% and 1.97%, respectively, as on March 31, 2025. Slippage ratio (New additions to NPA/Opening loan portfolio) moderated to 2.67% in FY26 from 3.77% in FY25. However, the credit cost remained elevated at 2.33% in FY26 (FY25 1.64%), due to the stress witnessed in micro finance segment, which overlaps with the target segment for the businesses of VFSPL's borrowers. Given the strong portfolio growth for last five years (ending FY26) and the relatively long average loan tenor, the seasoning of the current AUM remains limited. It is noteworthy that the reported GNPA is post sale of NPA pool to asset reconstruction company (ARC). The net stressed asset/ net worth ([NNPA+ Investment in Security Receipt+ Net restructured book]/net worth) increased to 6.17% as on March 31, 2026, against 3.93% as on March 31, 2025. GNPA and NNPA stood at 3.53% and 2.17%, respectively, as on June 30, 2026 (4.27% and 2.69%, respectively, as on June 30, 2025).

The company's ability to improve asset quality while expanding its loan book amid increasing competition in the secured MSME lending space will remain a key monitorable. VFSPL is primarily lending towards the un-organised MSME segment in the rural and semi-urban areas, where borrowers often lack formal income documentation and remain vulnerable to cash flow volatility. However, credit risk is partially mitigated by the secured nature of the portfolio, with nearly all loans backed by self-occupied residential property. As on June 30, 2026, two-third of the portfolio comprised borrowers with CIBIL scores above 700, reflecting a relatively better risk profile. CareEdge Ratings believes that the company's asset quality will continue to be influenced by the income stability of its self-employed borrower base, and performance of the loan book across economic cycles will remain a key rating monitorable.

Moderately diversified resource profile with improvement in cost of funds

The company's resource profile improved with increased reliance on non-bank funding sources such, as non-convertible debentures (NCDs) and external commercial borrowings (ECBs), although bank borrowings continue to form the largest share. As on June 30, 2026, bank borrowings (including term loans and working capital lines) accounted for 65.1% of total borrowings, while borrowings from financial institutions stood at 2.2%. The share of ECBs and NCDs stood at 16.2% and 16.0%, respectively, and pass-through certificate (PTC) transactions formed ~0.6% of total borrowings. The company has diversified banking relationships with several public sector undertakings (PSU) banks, private banks, small finance banks and NBFCs, which has enabled it to maintain adequate funding flexibility and access to multiple borrowing avenues. As VFSPL continues to expand its operations, further broadening of its lender base and increasing reliance on capital market and offshore borrowings will be important to support growth and mitigate funding concentration risk. The company's ability to raise resources at competitive rates and maintain strong lender relationships will remain a key monitorable.

Liquidity: Adequate

Per asset and liability management (ALM; behavioural basis), VFSPL's liquidity profile remains adequate, with no cumulative mismatches in time buckets in time period as on June 30, 2026. The company maintained unencumbered cash and cash equivalents aggregating to ₹177 crore, along with expected inflows from advances (excluding interest) of ₹956 crore in the next one year remain adequate against scheduled debt repayments (excluding interest) of ₹990 crore. The management plans to maintain three months' repayment and operating expense and two months' disbursement requirement as liquidity at all times in the form of unencumbered cash and cash equivalents and unavailed lines of credit.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Non Banking Financial Companies](#)

[Notching by Factoring Linkages with Parent](#)

[Short Term Instruments](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

VFSPL is a Bengaluru-based Reserve Bank of India (RBI) registered NBFC. The company commenced operations in April 2010 (founded By Brahmanand Hegde and Ramakrishna Nisthala), with a focus to providing loan to MSME in rural and semiurban areas.

WP acquired 90.59% stake in the company in May 2023. The company is led by the MD & CEO, Avijit Saha, who was with ICICI bank before joining VFSPL; he was heading rural business for the bank. In FY25, the company has raised fresh equity of ₹870 crore from new investors namely, including Motilal Oswal Private Equity, ABC Impact, Faering Capital, and True North. WP's shareholding stood at 70.06% as on June 30, 2026.

Standalone Financials

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Total income	924	1,027	246
Profit after tax (PAT)	221	287	61
Assets under management (AUM)	4,930	5,512	5,670
On-book gearing (x)	1.27	0.94	0.94
AUM / tangible net worth (TNW) (x)	1.90	2.01	2.02
Gross non-performing assets (NPA) / gross stage 3 (%)	3.08	2.83	3.53
Return on managed assets (ROMA) (%)	4.16	4.70	3.99
Capital adequacy ratio (CAR) (%)	50.94	51.43	51.03

A: Audited; UA: Unaudited; Note: These are latest available financial results.

Status of non-cooperation with previous CRA: Not applicable.

Any other information: Not applicable.

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1.

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debentures-Non Convertible Debentures	SEBI	Simple	INE016P07211	19-Apr-2024	9.65	19-Apr-2027	27.50	CARE AA-; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	INE016P07260	27-Jun-2024	9.65	27-Dec-2026	200.00	CARE AA-; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	INE016P07278	22-Jan-2026	6 Month SBI MCLR rate	22-Jan-2033	125.00	CARE AA-; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	INE016P07286	18-Jun-2026	6 Month SBI MCLR rate	18-Jun-2033	125.00	CARE AA-; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	Proposed	-	-	-	72.50	CARE AA-; Stable
Debentures-Non Convertible Debentures	SEBI	Simple	Proposed	-	-	-	250.00	CARE AA-; Stable
Fund-based-LT/ST	RBI	Simple	-	-	-	December 2034	1819.10	CARE AA-; Stable / CARE A1+
Fund-based-LT/ST	RBI	Simple	Proposed	-	-	-	180.90	CARE AA-; Stable / CARE A1+

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debentures-Non Convertible Debentures	LT	150.00	CARE AA-; Stable	1)CARE AA-; Stable (01-Jul-26)	1)CARE A+; Positive (20-Nov-25)	1)CARE A+; Stable (03-Jan-25)	1)CARE A+; Stable (27-Mar-24)

						2)CARE A+; Positive (08-Jul-25)		
2	Debentures-Non Convertible Debentures	LT	200.00	CARE AA-; Stable	1)CARE AA-; Stable (01-Jul-26)	1)CARE A+; Positive (20-Nov-25) 2)CARE A+; Positive (08-Jul-25)	-	-
3	Fund-based-LT/ST	LT/ST	2000.00	CARE AA-; Stable / CARE A1+	1)CARE AA-; Stable (01-Jul-26)	1)CARE A+; Positive (20-Nov-25) 2)CARE A+; Positive (08-Jul-25)	-	-
4	Debentures-Non Convertible Debentures	LT	200.00	CARE AA-; Stable	1)CARE AA-; Stable (01-Jul-26)	1)CARE A+; Positive (20-Nov-25)	-	-
5	Debentures-Non Convertible Debentures	LT	250.00	CARE AA-; Stable				

LT: Long term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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About us:

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